

Tentative Rulings for August 10, 2026 Department 7

**To request oral argument, you must notify Judicial Secretary
Crystal Marias at (760) 904-5722
and inform all other counsel no later than 4:30 p.m.**

This court follows California Rules of Court, Rule 3.1308 (a) (1) for tentative rulings (see Riverside Superior Court Local Rule 3316). Tentative Rulings for each law & motion matter are posted on the Internet by 3:00 p.m. on the court day immediately before the hearing at [Riverside Superior Court-Tentative Rulings](#). If you do not have Internet access, you may obtain the tentative ruling by telephone at (760) 904-5722.

To request oral argument, no later than 4:30 p.m. on the court day before the hearing you must (1) notify the judicial secretary for Department 7 at (760) 904-5722 and (2) inform all other parties of the request and of their need to appear remotely, as stated below. If no request for oral argument is made by 4:30 p.m., the tentative ruling **will become the final ruling** on the matter effective the date of the hearing. **UNLESS OTHERWISE NOTED, THE PREVAILING PARTY IS TO GIVE NOTICE OF THE RULING.**

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Please **MUTE** your phone until your case is called and it is your turn to speak. It is important to note that you must call fifteen (15) minutes prior to the scheduled hearing time to check in or there may be a delay in your case being heard.

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1.

CASE #	CASE NAME	HEARING NAME
CVRI2301887	RAMIREZ vs WITHEROW	MOTION FOR SANCTIONS

Tentative Ruling:

Plaintiffs Robin Ramirez and Marie Webster's Motion for Sanctions is denied.

REQUEST FOR JUDICIAL NOTICE

Plaintiffs ask the Court to take judicial notice of (1) their Additional Evidence in Support of Default Prove Up, filed 9/3/24, and (2) the file in the Probate matter. The court grants the request for judicial notice of the documents as to their existence, but not the truth of the matter, pursuant to Evid. Code § 452(d). (*Richtek USA, Inc. v. uPI Semiconductor Corp.* (2015) 242 Cal.App.4th 651, 658.)

Safe Harbor

The sanctions process is usually commenced by party motion, although a court may issue an order to show cause *sua sponte*. (C.C.P. §128.7(c)(2).) The moving party must first serve the motion for sanctions on the offending party at least 21 days before filing it; this safe harbor provision allows the opposing party to withdraw or appropriately amend the "challenged paper, claim, defense, contention or denial." (*Barnes v. Department of Correction* (1999) 74 Cal.App.4th 126, 130.) At the end of the 21-day waiting period, if the pleading is not withdrawn, the moving party may file the motion. (C.C.P. §128.7(c)(1); *Martorana v. Marlin & Saltzman* (2009) 175 Cal.App.4th 685, 698-99.)

Here, Plaintiffs present evidence that they served this motion on Defendant more than 21 days before filing the motion. (See, Decl. of David J. Hallstrom at ¶ 8, Ex. A.) Defendant argues that this notice was insufficient to comply with the safe harbor requirement because Plaintiffs did not notify Defendant of the amount of sanctions being sought at that time. (Opposition, p. 5:12-27.) They cite no authority for this proposition. C.C.P. § 128.7(c)(1) states only that "[n]otice of motion shall be served as provided in Section 1010, but shall not be filed with or presented to the court unless, within 21 days after service of the motion, or any other period as the court may prescribe, the challenged paper, claim, defense, contention, allegation, or denial is not withdrawn or appropriately corrected." Plaintiffs presented evidence that they complied with C.C.P. § 128.7(c)(1), so the motion is procedurally proper.

On the Merits

Pursuant to C.C.P. § 128.7, an attorney or unrepresented party who presents a pleading, motion or similar paper to the court makes an implied certification as to its legal and factual merit, and a violation of this implied certification subjects the attorney and/or party to sanctions. (C.C.P. § 128.7; *Murphy v. Yale Materials Handling Corp.* (1997) 54 Cal.App.4th 619,623.) Under C.C.P. § 128.7, "there are basically three types of submitted papers that warrant sanctions: factually frivolous (not well grounded in

fact); legally frivolous (not warranted by existing law or a good faith argument for the extension, modification, or reversal of existing law); and papers interposed for an improper purpose.” (*Guillemín v. Stein* (2002) 104 Cal.App.4th 156, 167.) Whether the paper or pleading is frivolous or improper is tested objectively. (*Bockrath v. Aldrich Chem. Co., Inc.* (1999) 21 Cal.App.4th 71, 82.) “A claim is objectively unreasonable if any reasonable attorney would agree that it is totally and completely without merit.” (*Peake v. Underwood* (2014) 227 Cal.App.4th 428, 440 [internal quotation marks and citation omitted].) It is not necessary to demonstrate that the party acted in bad faith. (*Id.* at 449.) Additionally, a party “presents” a pleading or paper, under C.C.P. § 128.7, if it *signs, files, submits or later advocates* the positions set forth in the original document. (C.C.P. § 128.7(b).) Thus, a continuing obligation is imposed. That is, a litigant’s obligations regarding the contents of papers are not measured solely as of the time the papers are filed with the court. The same certification applies when the litigant “advocates” claims or defenses previously pleaded. (*Id.*) Therefore, sanctions may be awarded where an attorney/litigant argues positions contained in earlier-filed papers after learning such positions are without evidentiary support or legal merit.

However, “the sanctions statute must not be construed so as to conflict with the primary duty of an attorney to represent his or her client zealously. Forceful representation often requires that an attorney attempt to read a case or an agreement in an innovative though sensible way. Our law is constantly evolving, and effective representation sometimes compels attorneys to take the lead in that evolution.” (*Peake, supra*, 227 Cal.App.4th at 441 [internal quotations omitted].) Furthermore, these statutes “should be utilized only in the rare and exceptional case where the action is clearly frivolous, legally unreasonable or without legal foundation, or brought for an improper purpose. ... Because our adversary system requires that attorneys and litigants be provided substantial breathing room to develop and assert factual and legal arguments, [section 128.7] sanctions should not be routinely or easily awarded even for a claim that is arguably frivolous ..., and instead should be made with restraint. ... Indeed, even if a plaintiff could not successfully defend against either demurrer or summary judgment, that alone is insufficient to support the sanction of dismissal.” (*Kumar v. Ramsey* (2021) 71 Cal.App.5th 1110, 1121 [internal citations and quotations omitted]; see also, *Peake, supra*, 227 Cal.App.4th at 448 [“Our conclusion that the court properly found Peake’s statutory and common law claims were without merit, and there was no arguable factual or legal basis for asserting those claims, does not necessarily answer the question whether sanctions were appropriate under the circumstances of the case.”].)

In the present case, at issue is Defendant’s motion to set aside the default judgment entered against him, wherein he argued that: the judgment was void because the court lacked statutory and subject matter jurisdiction over the claims; the doctrine of exclusive concurrent jurisdiction applied because the Probate Court asserted jurisdiction first; and the Court should reconsider its findings on the default judgment. The Court denied Defendant’s motion, finding the judgment was not void because the civil court had subject matter jurisdiction over Plaintiffs’ claim and the doctrine of exclusive concurrent jurisdiction did not apply. (5/4/26 Order.) The Court also found reconsideration of the judgment was improper. (*Ibid.*)

While Defendant's claims ultimately failed, the arguments raised by his counsel appear to be based on her "innovative" reading of the law and zealous representation. (See, *Peake, supra*, 227 Cal.App.4th at 441.) While the Court did rule in Plaintiffs' favor, this is insufficient alone to support an award of sanctions pursuant to C.C.P. § 128.7. (See, *Kumar, supra*, 71 Cal.App.5th at 1121; *Peake, supra*, 227 Cal.App.4th at 448.)

Additionally, while Plaintiffs contend Defendant's actions were intended to require them to spend significant amounts of money, there is insufficient evidence that the motion was filed for an improper purpose. As sanctions awards are to be granted with restraint, and sanctions should not be routinely awarded even for a claim that is arguably frivolous, this motion is denied. (*Ibid.*)

2.

CASE #	CASE NAME	HEARING NAME
CVRI2501448	SANCHEZ vs GENERAL MOTORS LLC	MOTION TO COMPEL

Tentative Ruling:

Plaintiff's Motion to Compel as to RFP Nos. 3 and 28 is granted (the response to RFP No. 28 is limited to 2022 to present.)

The parties are ordered to meet and confer regarding the definition of Transmission Defect to establish a definition that is easily searchable.
The request for sanctions is denied.

RFP No. 3 requests all warranties issues by You or GM regarding the Subject Vehicle. Defendant responded that the request was nonsensical because it was intended for a different entity. "You" is defined to include Defendant as well as affiliated entities. (See Decl. of McCabe, Ex. A.) The warranties are clearly directly relevant to the breach of warranty claims. Apparently, Defendant is confused because the RFP appears to seek warranties issued by GM as well as other entities. However, the request expressly seeks warranties issued by GM. As such, Defendant must respond. If it does not have custody or control of documents held by the affiliated entities described in the definition, it should indicate the reason for the inability to comply as well as the name and address of any natural person or organization known or believed by that party to have possession, custody, or control of that item or category of item. (CCP § 2031.230.)
Grant the Motion to Compel.

RFP Nos. 23, 40, 41, 42 and 46 seek complaints to GM and other entities regarding the Transmission defect in Sierra 1500 vehicles. Transmission Defect is defined as "such defect which result in symptoms, including but not limited to: a vehicle that "wants to jolt forward" when coming to a stop; internal binding of a 1-2-3-4-5 Reverse piston; sticking pistons during lowering; overheating and warping of clutch steels and friction plates; discoloration of internal harnesses; "consequential damage" to internal pistons and springs; and any other similar concerns identified by Plaintiff or in the repair history for the Subject Vehicle." (Decl. of McCaabe, Ex. A.)

Defendant objects on several grounds, including that the RFPs are vague, overbroad and not reasonably particularized. These objections are well taken. Similar complaint evidence may be relevant when limited to the specific problems experienced by the plaintiff. (See *Doppes v. Bentley Motors Inc.* (2009) 174 Cal.App.4th 967, 976-977, n. 2.) Furthermore, the information is relevant if limited to vehicles of the same year, make and model as the subject vehicle. (*Donlen v. Ford Motor Company* (2013) 217 Cal.App.4th 138, 154.) Here, the RFPs are not limited to the complaints involving 2022 vehicles. Thus, they are overbroad. Furthermore, the definition is unintelligible and does not appear to be readily searchable. Defendant should not be required to review other documents to determine the scope of the request. The parties must meet and confer to establish a workable definition for Transmission Defects.

RFP No. 28 requests documents setting forth GM's document retention policies from 2013 to present. Defendant objection on grounds that the request seeks privileged information and that the request is overbroad, unduly burdensome, vague, irrelevant, and fails to identify the information sought with reasonable particularity. Since there do not appear to be any allegations that GM failed to preserve or retain documents, the relevance of this request is minimal. Moreover, the scope dating back over ten years is excessive. As such, GM is required to provide a supplemental response including its document retention policies since the purchase of the Subject Vehicle.

SANCTIONS:

The court shall impose a monetary sanction against a party, person or attorney who unsuccessfully makes or opposes a motion to compel further responses to a demand for inspection or interrogatory unless it finds that the one subject to the sanction acted with substantial justification or other circumstances make the imposition of the sanction unjust. (CCP §2030.290(c); §2031.310(d).) "Whenever one party's improper actions even if not "willful"—in seeking or resisting discovery necessitate the court's intervention in a dispute, the losing party presumptively should pay a sanction to the prevailing party." (*Ellis v. Toshiba America Information Systems, Inc.* (2013) 218 Cal. App. 4th 853, 878.)

Plaintiff's request for sanctions is denied because Defendant's responses were substantially justified. The definition of Transmission Defect is vague and not reasonably particularized. It does not appear that Plaintiff engaged in a genuine, good faith effort to meet and confer regarding the definition and other issues raised by the Motion,

3.

CASE #	CASE NAME	HEARING NAME
CVRI2507279	SHAW vs SLICK'S INCORPORATED	MOTION TO SET ASIDE DEFAULT

Tentative Ruling:

Defendants UNOPPOSED Motion to Set Aside Default is granted.

Defendants must file separate responsive pleading within 20 days of this ruling.

Order to Show Cause is set for 9/23/26, as to why sanctions not to exceed \$1,500.00 or dismissal should not be imposed for Failure to file request for entry of default of ALL defendants on complaint pursuant to CRC 3.110(g) as to PLAINTIFF AND HECTOR C. PEREZ.

Based on the evidence presented in the declarations Baher Fangary and Eduardo Verdugo, the following factual timeline is established:

- March 30, 2026: Plaintiff attempted substituted service of the Summons and Complaint at Defendants' place of business by leaving copies with a door manager.
- April 11, 2026: Within the statutory period to respond, Defendant Fangary prepared an Answer and instructed his representative to serve it and upload it to the Court's electronic filing system.
- April 16, 2026: Plaintiff's counsel, Hector C. Perez, received a true copy of Defendants' Answer via certified mail.
- April 22, 2026: Plaintiff's counsel received a detailed meet-and-confer letter from Defendants outlining the factual basis of their defense.
- May 14, 2026: Defendant noticed that the April 11 electronic filing was rejected due to an appearance-fee balance; he promptly authorized the fee and resubmitted the Answer that same day.
- May 21, 2026: Plaintiff's counsel received a second detailed meet-and-confer letter from Defendants.
- May 22, 2026: While Defendants' corrected filing remained pending in the electronic queue, Plaintiff filed a Request for Entry of Default, which the Clerk entered that same day.
- May 29, 2026: The Clerk issued a second rejection notice regarding formatting requirements for the Proof of Service; Defendant immediately corrected the formatting and resubmitted the filing twice more that day.
- June 5, 2026: Plaintiff's counsel notified Defendants via email that default had been entered; Defendants immediately requested a voluntary stipulation to vacate, which Plaintiff declined.
- June 9, 2026: Defendants filed the present Motion to Set Aside Default.

Under Code of Civil Procedure section 473.5, the Court may provide relief when service of a summons has not resulted in "actual notice to a party in time to defend the action". As established in the Declaration of Baher Fangary, Defendants did not receive actual notice via personal service and acted with "absolute diligence" to defend the case once they became aware of the substituted service. "Actual notice" has been strictly construed by California courts to mean the "genuine knowledge of the party litigant," with the aim of implementing a policy that liberally grants relief so cases are resolved on their merits (*Ellard v. Conway* (2001) 94 Cal.App.4th 540, 547).

The Court finds that the delay in filing the Answer was attributable to technical e-filing rejection notices concerning fees and formatting, all of which Defendants promptly

addressed. Such technical issues constitute excusable neglect or clerical administrative delay justifying a set-aside (*Rojas v. Cutsforth* (1992) 11 Cal.App.4th 1131).

Relief under Code of Civil Procedure section 473.5 requires a showing that the lack of actual notice was not caused by the party's avoidance of service or inexcusable neglect. Defendants' proactive behavior—including serving an Answer on Plaintiff's counsel and sending multiple meet-and-confer letters weeks before the default was even sought—demonstrates a good-faith effort to participate in the litigation rather than an attempt to avoid it. fundamental fairness requires that a default be set aside when service does not result in actual knowledge (*Olvera v. Olvera* (1991) 232 Cal.App.3d 32, 40).

The Court further notes that Plaintiff has filed no opposition to this motion. In the absence of an opposition, the Court is entitled to consider the lack of response as an admission that the motion is meritorious (Riverside County Superior Court Local Rules; see also *Herzberg v. County of Plumas* (2005) 133 Cal.App.4th 1, 20). Because Plaintiff has not briefed any issues in opposition, the Court deems any potential arguments against the set-aside to have been abandoned (*Arnold v. Dow Chemical Co.* (2001) 91 Cal.App.4th 698, 729).

The law maintains a strong public policy favoring the resolution of cases on their merits rather than by default. Given Defendants' continuous efforts to participate in the litigation and the lack of any opposition from Plaintiff, relief is appropriate so that the case may proceed.

4.

CASE #	CASE NAME	HEARING NAME
CVRI2507448	BUTLER vs FCA US LLC	DEMURRER ON COMPLAINT
CVRI2507448	BUTLER vs FCA US LLC	MOTION TO STRIKE COMPLAINT

Tentative Ruling:

Defendant FCA's Demurrer is overruled; Defendant's Motion to Strike is granted with leave to amend within 20 days.

A general demurrer lies where the pleading does not state facts sufficient to constitute a cause of action. (C.C.P., § 430.10(e).) In evaluating a demurrer, the court gives the pleading a reasonable interpretation by reading it as a whole and all of its parts in their context. (*Moore v. Regents of University of California* (1990) 51 Cal.3d 120, 125.) The court assumes the truth of all material facts which have been properly pleaded, of facts which may be inferred from those expressly alleged, and of any material facts of which judicial notice has been requested and may be taken. (*Crowley v. Katleman* (1994) 8 Cal.4th 666, 672.) However, a demurrer does not admit contentions, deductions or conclusions of fact or law. (*Daar v. Yellow Cab Company* (1967) 67 Cal.2d 695, 713.) If the complaint fails to state a cause of action, the court must grant the plaintiff leave to amend if there is a reasonable possibility that the defect can be cured by amendment. (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.)

SIXTH CAUSE OF ACTION FOR FRAUDULENT INDUCEMENT CONCEALMENT

The elements of an action for fraud based on concealment are: (1) concealment of a material fact, (2) a duty to disclose the fact to the plaintiff, (3) the intent to defraud the plaintiff, (4) reliance, and (5) as a result of the concealment or suppression of the fact, the plaintiff must have sustained damage. (*Lovejoy v. AT&T Corp.* (2004) 119 Cal.App.4th 151, 157-158.) Generally, a fraud-based cause of action must be pled with particularity, which requires pleading facts showing how, when, where, to whom, and by what means the false representations were tendered. (*Lazar v. Sup. Ct.* (1996) 12 Cal.4th 631, 645.) As concealment is a species of fraud, it must also be pled with specificity. (*Blickman Turkus, LP v. MF Downtown Sunnyvale, LLC* (2008) 162 Cal.App.4th 858, 878.) “California courts apply the same specificity standard to evaluate the factual underpinnings of a fraudulent concealment claim at the pleading stage, even though the focus of inquiry shifts to the unique elements of the claim.” (*Rattagan v. Uber Technologies, Inc.* (2024) 17 Cal.5th 1, 43.) “If the duty to disclose arose by virtue of the parties’ relationship and defendant’s exclusive knowledge or access to certain facts . . . the complaint must also include specific allegations establishing all of the required elements, including (1) the content of the omitted facts; (2) defendant’s awareness of the materiality of those facts, (3) the inaccessibility of the facts to plaintiff, (4) the general point at which the omitted facts should or could have been revealed, and (5) justifiable and actual reliance, either through action or forbearance, based on the defendant’s omission.” (*Id.* at 43-44.)

Specificity

In *Dhital v. Nissan North America, Inc.* (2022) 84 Cal.App.5th 828 the Court addressed the pleading requirements for fraudulent concealment. There, the plaintiff alleged: (1) Nissan installed defective transmissions in numerous vehicles (including the plaintiff’s vehicle); (2) Nissan was aware of the defects and hazards they posed; (3) Nissan had exclusive knowledge of the defects but intentionally concealed and failed to disclose the information; (4) Nissan intended to deceive plaintiffs by concealing the transmission problems; (5) plaintiffs would not have purchased the car had they known of the defects; and (6) plaintiff suffered damages in the form of money paid to purchase the car. (*Id.* at 843-44.) The court held that these allegations were sufficient to state a cause of action for fraudulent inducement. (*Id.* at 843-45.)

Here, Plaintiff’s allegations are similar to the facts alleged in *Dhital*. Plaintiff alleges that on August 25, 2019, he entered into a warranty contract with Defendant FCA in connection with the purchase of the Subject Vehicle. (Comp., ¶ 7.) The 2.0L engine installed in the Subject Vehicle suffers from one or more defects that can result in loss of power, stalling, engine running rough, engine misfires, failure or replacement of the engine (“Engine Defect”). (*Id.* at 16.) The Engine Defect causes unsafe conditions in vehicles equipped with the 2.0L engine, including loss of power while driving. (*Id.* at ¶ 17.) The Engine Defect manifested in the Subject Vehicle during the warranty period. (*Id.* at ¶ 12.)

Plaintiff alleges before he purchased the Subject Vehicle, Defendant knew about the Engine Defect through sources not available to consumers, including pre-release testing data, early consumer complaints to FCA and its dealers, testing conducted in response to the complaints and other internal sources. (*Id.* at ¶¶ 19, 22-27, 67.) Despite its knowledge of the Engine Defect, Defendant continued to conceal and not disclose it. (*Id.* at ¶¶ 25-27, 69.) Plaintiff did not know of the Engine Defect and could not reasonably have discovered the information prior to purchasing the Vehicle. (*Id.* at ¶¶ 67, 69.) Plaintiff contends that if he knew about the Engine Defect, he would not have purchased the Subject Vehicle. (*Id.* ¶ 70.) These facts are sufficient to state a cause of action under *Dhital* even though the exact dates of the pre-release testing and complaints and the dates and representations made by the marketing materials and dealership are not provided.

Duty to Disclose

For fraudulent concealment to be actionable, defendant must have been under a duty to disclose the facts to plaintiff. (*People v. Highland Fed. Sav. & Loan* (1993) 14 Cal.App.4th 1692, 1718; *Stevens v. Sup. Ct.* (1986) 180 Cal.App.3d 605, 608-610.) A duty to disclose may arise (1) when the defendant is in a fiduciary relationship with the plaintiff; (2) when the defendant had exclusive knowledge of material facts not known to the plaintiff; (3) when the defendant actively conceals a material fact from the plaintiff; or (4) when the defendant makes partial representations but also suppresses some material facts. (*Hoffman v. 162 North Wolfe LLC* (2014) 228 Cal.App.4th 1178, 1186.) These circumstances “presuppose a preexisting relationship between the parties, such as ‘between seller and buyer, employer and prospective employee, doctor and patient, or parties entering into any kind of contractual agreement. [Citation.] All of these relationships are created by transactions between parties from which a duty to disclose facts material to the transaction arises under certain circumstances.” (*Rattagan, supra*, 17 Cal.5th at 40-41.) “Such a transaction must necessarily arise from direct dealings between the plaintiff and defendant; it cannot arise between the defendant and the public at large.” (*Bigler-Engler v. Breg, Inc.* (2017) 7 Cal.App.5th 276, 311.) However, the relationship need not be direct where a manufacturer advertises to the plaintiff and obtains monetary benefits from the sale. (*Bader v. Johnson & Johnson* (2022) 86 Cal.App.5th 1094, 1132.)

The FAC alleges that Plaintiff entered into a warranty agreement with FCA pertaining to the vehicle it manufactured. (Comp., ¶ 7.) A contract can form the basis of a transactional relationship. FCA fail to point to any binding authority that such a relationship does not constitute a transaction between the parties for the purposes of fraudulent concealment. As such, this argument fails.

Economic Loss Rule

The economic loss rule bars “a plaintiff’s tort recovery of economic damages unless such damages are accompanied by some form of physical harm (i.e. personal injury or property damage.)” (*North American Chemical Co. v. Sup. Ct.* (1997) 59 Cal.App.4th 764, 777.) A purchaser may only recover in contract for purely economic loss due to disappointed expectations. (*Robinson Helicopter Co. v. Dana Corp.* (2004) 34 Cal. 4th

979, 988.) However, the rule does not apply where the conduct amounting to a breach of contract also violates a duty independent of the contract constituting a tort. (*Erlich v. Menezes* (1999) 21 Cal. 4th 543, 551.) A tortious breach of contract may be found when the breach is accompanied by a traditional common law tort, such as fraud or conversion. (*Robinson Helicopter, supra*, 34 Cal. 4th at 990.) In such cases, the duty that gives rise to tort liability is either completely independent of the contract or arises from conduct which is both intentional and intended to harm. (*Id.*)

In *Rattagan, supra*, the California Supreme Court affirmed that “the economic loss rule does not apply to limit recovery for intentional tort claims like fraud. The doctrine only applies to bar tort recovery for negligently inflicted economic losses unaccompanied by physical or property damage...” (*Rattagan, supra*, 17 Cal.5th at 38.) The Court held that:

[U]nder the economic loss rule, tort recovery for breach of a contract duty is generally barred [citations] unless two conditions are satisfied. A plaintiff must first demonstrate the defendant's injury-causing conduct violated a duty that is independent of the duties and rights assumed by the parties when they entered the contract. Second, the defendant's conduct must have caused injury to persons or property that was not reasonably contemplated by the parties when the contract was formed.

(*Id.* at 20-21.) However, the holding was based on concealment committed during the contractual relationship and did not address whether the economic loss rule applies to claims of fraudulent concealment in the inducement where no contract exists at the time of fraud. (*Id.* at 41, fn 12.)

In *Dhital*, the court expressly found that the economic loss rule did not apply to the fraudulent inducement by concealment claim for purposes of pleading. (*Dhital, supra*, 84 Cal.App.5th at 843.) The court noted that *Robinson* expressly identified fraudulent inducement as an exception to the economic loss rule where the duty giving rise to the tort liability is either completely independent of the contract or arises from conduct with is intentional and intended to cause harm. (*Id.* at 841.) Fraudulently inducing someone to enter a contract by either affirmative misrepresentations or concealment is conduct that is independent and separate from the later breach of the contract. (*Ibid.*) Accordingly, Plaintiff's fraudulent inducement by concealment cause of action is not barred.

MOTION TO STRIKE

Pursuant to C.C.P., § 436(a), the court may “strike out any irrelevant, false, or improper matter inserted in any pleading.” When ruling on a motion to strike, the allegations of the pleading are assumed to be true and read in their context. (*Clauson v. Sup. Ct.* (1998) 67 Cal.App.4th 1253, 1255.) A pleading is to be liberally construed. (*CLD Construction v. City of Ramon* (2004) 120 Cal.App.4th 1141, 1146.)

A motion to strike is the proper procedure to attack a claim for punitive damages. (C.C.P., §§ 435-436; *Truman v. Turning Point of Central Calif., Inc.* (2010) 191

Cal.App.4th 53, 63.) A plaintiff may recover exemplary or punitive damages where it is proven that “the defendant has been guilty of oppression, fraud or malice.” (Civ. Code §3294(a).) As defined in the statute, malice is “conduct which is intended by the defendant to cause injury to the plaintiff or despicable conduct which is carried on by the defendant with a willful and conscious disregard of the rights or safety of others.” (Civ. Code § 3294(c)(1).) Despicable conduct is conduct which is “so vile, base, contemptible, miserable, wretched or loathsome that it would be looked down upon and despised by ordinary decent people.” (*American Airlines, Inc. v. Sheppard Mullin Richter & Hampton* (2002) 96 Cal.App.4th 1017, 1050.) Malice does not require actual intent to harm. Instead, the plaintiff may show “conscious disregard for the safety of others where the defendant is aware of the probable dangerous consequences of his or her conduct and here or she willfully fails to avoid such consequences.” (*Angie M. v. Sup. Ct.* (1995) 37 Cal.App.4th 1217, 1228.) “Fraud” is defined as, “an intentional misrepresentation, deceit, or concealment of a material fact known to the defendant with the intention on the part of the defendant of thereby depriving a person of property or legal rights or otherwise causing injury.” (Civ. Code, § 3294(c)(3).)

Not only must there be circumstances of oppression, fraud or malice, but facts must be alleged in the pleading to support such a claim.” (*Grieves v. Sup. Ct.* (1984) 157 Cal.App.3d 159, 166.) “[A] conclusory characterization of defendant’s conduct as intentional, willful and fraudulent is a patently insufficient statement of ‘oppression, fraud, or malice, express or implied,’ within the meaning of section 3294.” (*Brousseau v. Jarrett* (1977) 73 Cal. App. 3d 864, 872.) The pleading must contain factual allegations of wrongful motive, intent, or purpose. (*Cyrus v. Haveson* (1976) 65 Cal.App.3d 306, 317.)

Because Plaintiff has adequately pled her fraud cause of action, she has established a claim for punitive damages based on that fraud. “A fraud cause of action seeking punitive damages need not include an allegation that the fraud was motivated by the malicious desire to inflict injury upon the victim. The pleading of fraud is sufficient.” (*Stevens v. Sup. Ct.* (1986) 180 Cal.App.3d 605, 610.)

Defendant argues that the claim for punitive damages fails because Plaintiff does not allege corporate ratification. With respect to a corporate employer, the authorization, ratification or act of oppression, fraud, or malice must be on the part of an officer, director, or managing agent of the corporation.” (Civ. Code § 3294(b).) Officers, directors and managing agents are those employees of the corporation who “exercise substantial independent authority and judgment over decisions that ultimately determine corporate policy.” (*White v. Ultamar* (1999) 21 Cal. 4th 563, 573.) Acts of an ordinary supervisory level employees do not subject the corporation to punitive damages. (*Ibid.*) For the purpose of meeting a demurrer, it is sufficient to allege that the corporation authorized their agent’s wrongful acts. (*O’Hara v. Western Seven Trees Corp.* (1977) 75 Cal. App. 3d 798, 806.)

Plaintiff fails to address this argument in his opposition. Instead, Plaintiff asserts that the *Dhital* court also faced a motion to strike the claim for punitive damages. However, the *Dhital* Court expressly declined to address the question of corporate liability for punitive damages. (*Dhital, supra*, 84 Cal.App.5th at 845, fn. 8.) While it may not be

necessary specifically identify any specific officer, directors or managing agents, when it appears from the nature of the allegations that the defendant must necessarily possess full information concerning the facts of the controversy (see *Committee on Children's Television, Inc. v. General Foods Corp.* (1983) 35 Cal.3d 197, 216), here, Plaintiff does not allege authorization or ratification by managing agents. Accordingly, he has not established any basis for corporate liability for punitive damages.